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AGENDA**

SM/11/209*

August 8, 2011

To: Members of the Executive Board

From: The Secretary

Subject: **Chad—Staff Report for the 2011 Article IV Consultation**

Attached for consideration by the Executive Directors is the staff report for the 2011 Article IV consultation with Chad, which will be brought to the agenda for discussion on **a date to be announced**. Unless an objection from the authorities of Chad is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Wiczorek (ext. 37338), Mr. Ladd (ext. 37554), and Mr. Nachega (ext. 35972) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, August 16, 2011; and to the African Development Bank, the European Commission, the Islamic Development Bank, and the Organisation for Economic Cooperation and Development, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

CHAD

STAFF REPORT FOR THE 2011 ARTICLE IV CONSULTATION

August 5, 2011

KEY ISSUES

Prospects: Real GDP growth, driven up to 13 percent in 2010 by a record crop, is projected to moderate to 3 percent in 2011, but high oil prices and the completion of the new oil field and refinery projects have strengthened the fiscal and external outlooks. In 2012, the coming on line of new energy and cement projects will drive growth over 7 percent; growth should moderate thereafter given declining oil output.

Restoring Budget Discipline: Some effort was made to restore budget discipline in 2010 and early 2011, but deeper public financial management reform is needed to ensure compliance with budget targets and the execution of priority social spending.

Medium-Term Fiscal Outlook: The 2010 oil price recovery fuelled a procyclical fiscal expansion, leaving the budget highly vulnerable to a drop in oil revenues. To ensure sustainability, fiscal policy needs to be formulated in a multiyear framework that can cope with oil price volatility and the anticipated gradual drop in oil production. Adopting an explicit savings target and an expenditure smoothing policy will help.

The Financial Sector and the Business Environment: Chadian banks are heavily exposed to the government and therefore also indirectly vulnerable to oil price volatility. Chad scores poorly on international investment rankings, and improving the basic business environment is critical to non-oil growth.

Resuming the Path Toward Debt Relief: The authorities are eager to re-engage in program discussions to achieve the completion point under the Initiative for Heavily Indebted Poor Countries (HIPC) as quickly as feasible. IMF staff are working with the authorities to lay the necessary groundwork.

Approved By
Seán Nolan and
Dhaneshwar Ghura

Discussions took place in N'Djamena from June 2–5, 2011. The staff team comprised Messrs. Wieczorek (head), Keller, Ladd, Nachega (all AFR), and Mr. Topeur, resident economist.

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I. INTRODUCTION

1. **Chad's internal security situation has improved, but the crisis in Libya poses risks.**

The United Nations peacekeeping mission for Chad and the Central African Republic (MINURCAT) completed its mandate on December 31, 2010. The February 2010 peace pact with Sudan is holding, and Chadian forces have defeated a remaining rebel group in the Central African Republic. More than 70,000 people fleeing violence in Libya have been repatriated to or via Chad, with the help of international agencies.

2. The political situation is relatively calm. President Déby (in office since 1990) was reelected on April 25, 2011. The president's party and its allies won 133 of 188 seats in the National Assembly on February 13, 2011. Appointment of a new cabinet is expected after the presidential inauguration, slated for

August. However, the election results have not been universally accepted (opposition leaders boycotted the elections and alleged fraud) and local elections, originally scheduled for summer, have been postponed until October to allow for better preparation. Meanwhile, opposition members have formed a united front in the National Assembly.

3. The newly reelected president campaigned on a platform of renaissance, aiming to transform Chad into a middle-income economy diversified away from oil. To accelerate non-oil growth and stem the impact that dwindling oil reserves will have on income, exports, and fiscal revenues, the government has been pursuing an ambitious public investment program and foreign direct investment-led industrialization.

II. RECENT ECONOMIC DEVELOPMENTS AND OUTLOOK

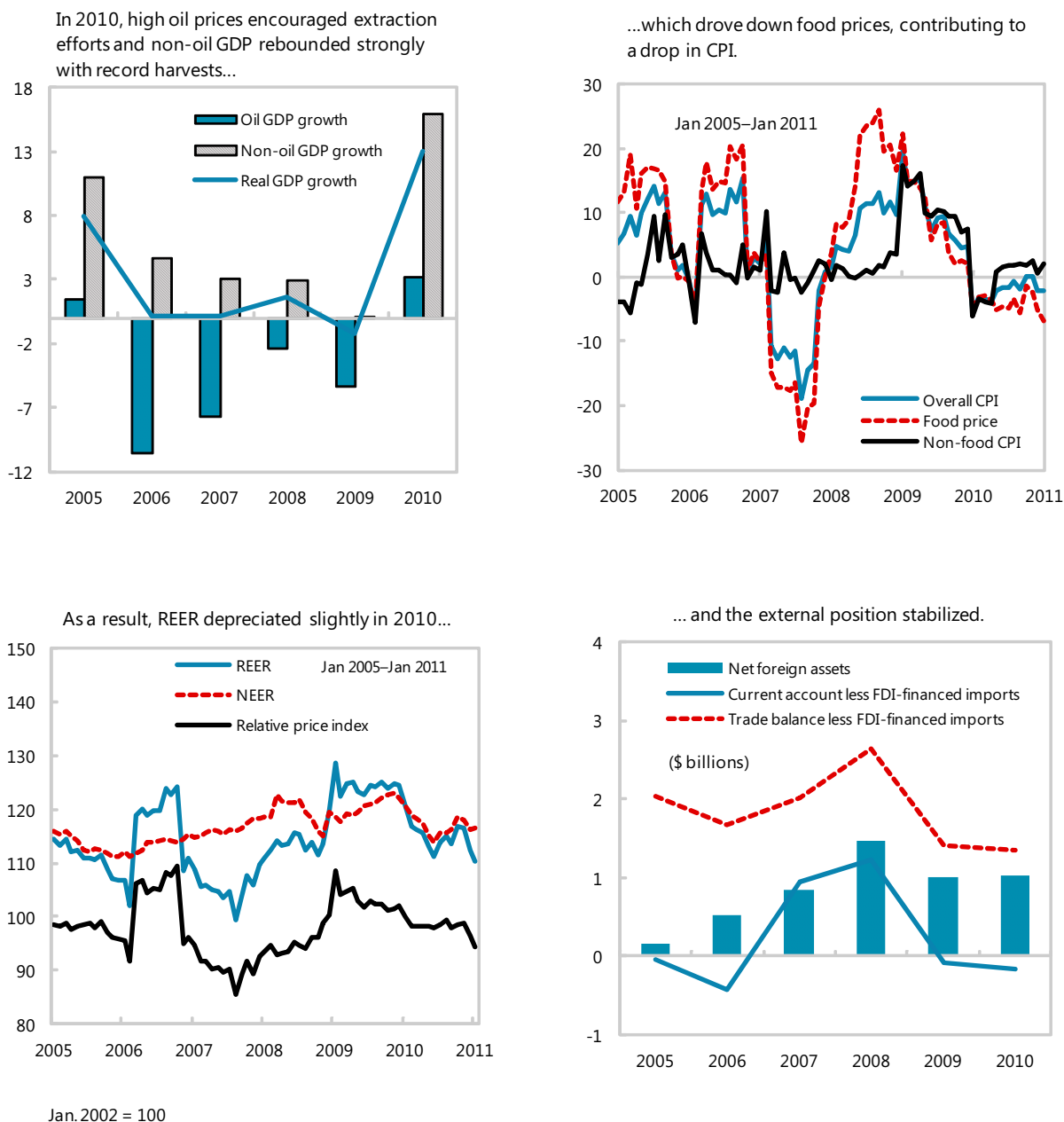
A. The 2010 Recovery

4. With real GDP growth reaching 13 percent in 2010, Chad recovered strongly from the 2009 downturn. In a temporary reversal of a declining trend (oil reserves are expected to be largely exhausted by 2030), oil production increased in 2010, as high oil prices justified additional investment to bolster extraction rates. Most importantly, with favorable rains and government measures to provide agricultural inputs, as well as increased cultivated area, agricultural production nearly doubled and food and consumer prices declined. Nevertheless, despite the favorable conditions in the

international cotton market, cotton output (the main traditional export commodity) remained low, mainly owing to the dire financial condition of the cotton parastatal (Cotontchad), and the ensuing neglect of cotton cultivation.

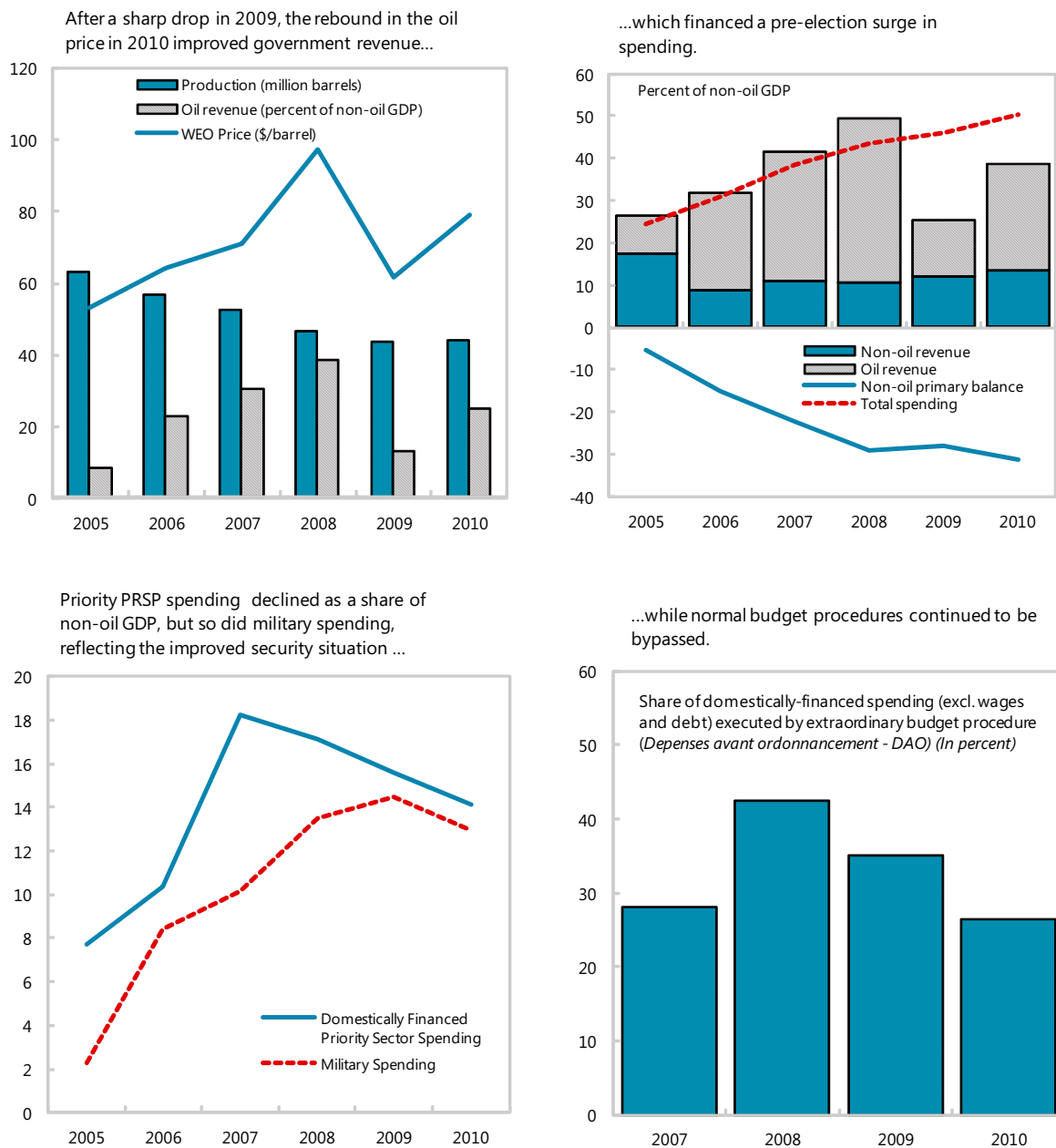
5. The overall fiscal position improved in 2010, reflecting higher-than-projected oil prices and increased non-oil tax revenue.

The overall fiscal deficit (excluding grants, commitments basis) shrank from 21 percent of non-oil GDP in 2009 to about 11 percent in

Figure 1. Chad: Recent Economic Developments, 2005–10

Sources: Chadian authorities; and IMF staff estimates.

**Figure 2. Chad: Impact of Oil Production on Fiscal Policy
and Public Financial Management, 2005–10**



Sources: Chadian authorities; and IMF staff estimates.

Status of Selected 2010 Article IV Recommendations	
Response to the food crisis	Staff called for a prompt response to the regional drought and consequent famine. The authorities took measures that led to a record crop harvest in 2010, and protected Chad from the subsequent international food price crisis.
Fiscal policy	Staff called for a supplementary budget with a lower NOPD target; the estimated 2010 outturn was 31 percent of non-oil GDP, 2.5 points above target.
Public financial management	The main PFM priorities were preserving oil-revenue transparency; further improving tax administration; aligning spending with the poverty reduction strategy; and improving public investment planning and procurement. The authorities managed to improve procurement performance and non-oil tax performance, but the oil refinery project's revenue regime is opaque.
Improving the business climate and financial sector policy	Recommendations included improving the judicial system; deepening the financial sector and ensuring bank compliance with prudential guidelines; and reform of loss-making SOEs. The bank regulator's central office functions were strengthened, and the new deposit guarantee fund began raising contributions. However, state-owned firms remain a drain on the treasury.

2010. However, the underlying fiscal stance, as measured by the non-oil primary deficit (NOPD), weakened from 28 percent to 31 percent of non-oil GDP, and the NOPD target established in the 2010 supplementary budget was overshoot by 2½ percent of non-oil GDP, mainly on account of a pre-election surge in domestically-financed public investment.¹

6. Despite some improvements, serious deficiencies in budget execution persisted.

The share of spending executed with emergency procedures (*dépenses avant ordonnancement*—DAOs) was lower in 2010 than in 2009, but it still accounted for over one

¹ The original 2010 NOPD target was overshoot by more than 12 percent of non-oil GDP, mainly on account of spending overruns on exceptional security spending and public investment.

quarter of domestically-financed spending (excluding wages and debt service)—9.3 percent of non-oil GDP—and DAOs equivalent to 4.3 percent of non-oil GDP awaited regularization at end-2010. On the positive side, the share of contracts awarded without competitive tender fell from 85 percent in 2009 to 49 percent in 2010.

7. The stock of public- and publicly-guaranteed debt rose from 30.5 percent of GDP at end-2009 to 32.6 percent of GDP (or 53.3 percent of non-oil GDP) at end-2010, mainly because of a nonconcessional loan from Libya, equivalent to 2.3 percent of non-oil GDP, which raised the stock of external debt to 25 percent of GDP at end-2010. On a net basis, the government repaid some domestic arrears, but continued to draw on the statutory advances from the

Bank of Central African States (BEAC) up to the limit allowed, raising this debt to 5.3 percent of GDP (or 8.1 percent of non-oil GDP) at end-2010.² Nevertheless, the updated debt sustainability analysis shows that, in the Baseline scenario, Chad's risk of debt distress remains moderate.

8. Notwithstanding the increased export earnings from oil, the external current account deficit widened to 35 percent of GDP because of the high

import content of investment spending (notably, in the oil sector). Official reserves increased but the reserve coverage of imports of goods and services (excluding oil-sector imports) weakened somewhat. Chad's real effective exchange rate remained broadly in line with that of the CEMAC region (Box 1).

9. Broad money increased by 25 percent, in line with nominal GDP, while credit to the economy grew 19 percent, broadly in line with nominal non-oil GDP.

B. Recent Developments, Outlook, and Risks

10. Overall GDP growth is projected to moderate to about 3 percent in 2011. Oil production is expected to decline slightly, despite the contribution from the new, but relatively small field (Bongor), operated by the China National Petroleum Corporation (CNPC). In June, Bongor began producing 20,000 barrels per day (bpd) to feed the new oil refinery, which opened shortly thereafter.³ With agricultural output expected to revert to the underlying trend, non-oil GDP growth is projected to moderate to 3.6 percent.

11. In 2012, growth is expected to spike above 7 percent, reflecting the oil refinery's first full year in operation and new industrial projects entering production, including a power station and a cement factory. Also, crude oil production is expected to spike in 2012, although output from the main oil field at Doba is expected to decline or, at best, remain at the current level of about

120,000 bpd, provided the international oil price remain high.

12. Consumer price inflation remained negative in the first quarter of 2011, but local media reported that some food prices rose in the second quarter, possibly owing to the seasonal depletion of food stocks.

Overall, consumer price inflation (period average) is not expected to exceed 2 percent in 2011 and 3 percent in 2012.⁴ However, prices of intermediate goods (e.g., cement) and wages of skilled labor are reported to be rising, owing to demand pressures from public investment.

13. Budget execution improved in the first five months of 2011, compared to the same period in 2010 but, on current trend, the NOPD at end-year would exceed the budget target by about 6 percentage points

² Financing from commercial banks was unavailable as banks reached the limits of their exposure to the state as a single borrower, which raises financial stability concerns (Section V).

³ The government borrowed to finance its share of the joint venture refinery and guaranteed the Chinese partner. The exposure assumed by the government on this account equals 4.0 percent of 2010 GDP.

⁴ Price policy regarding locally-produced petroleum products may help keep inflation low, but it will likely entail negative consequences for the budget. The ex-refinery price for all product categories was fixed at CFAF 200, yielding consumer prices of CFAF 230–375 per liter (depending on product category), compared with the prevailing consumer prices of these products of CFAF 730–775 per liter, or CFAF 500 for a liter of gasoline on the informal market.

Box 1. Chad: Exchange Rate and External Competitiveness Assessment

Chad's external competitiveness is heavily influenced by a number of exogenous factors, including oil prices and the euro/US dollar exchange rate. Competitiveness is also affected by a narrow domestic non-oil production base, significant natural barriers to trade, and weak institutions.

In recent years, Chad's real effective exchange rate (REER) has been tracking closely the CEMAC's gradually appreciating REER, with minor deviations reflecting mainly fluctuations in Chad's inflation path compared to the region's average. Thus, staff's assessment of CEMAC's external sustainability and non-oil REER also applies to Chad, suggesting that, under current policies, Chad's REER is broadly in line with fundamentals (SM/11/63).

This is confirmed by applying various CGER methodologies for Chad, placing its non-oil REER at 2–6 percentage points above the norm, depending on the approach used.¹ Using the modified methodology, based on Bems/de Carvalho Filho (2009), which was applied in the recent assessment of CEMAC's REER, Chad's non-oil REER is overvalued by close to 15 percent, very much in line with the REER in the CEMAC area as a whole. The test relies on a current account norm derived from the assumption that oil wealth is used for smoothing inter-temporal consumption.

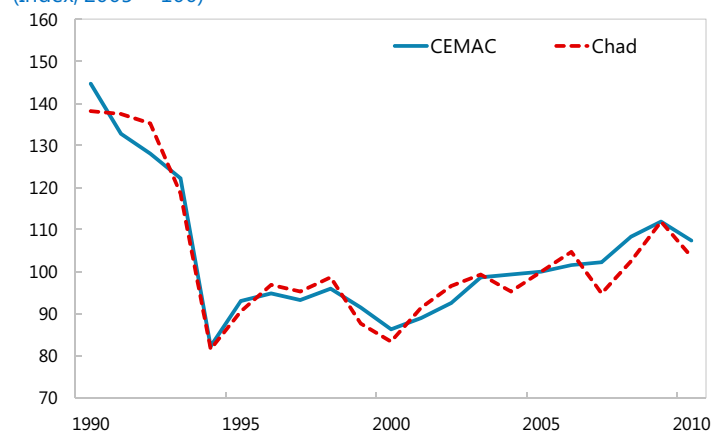
By construction, both norms disregard investment expenditure, which accentuates estimated overvaluation if the medium-term current account is heavily influenced by public investment (as is the case in Chad), even if the investment is sound.

Chad's strong oil-export driven external position projected over the medium term may result in further appreciation of its REER. Given the diminishing oil resource base, a prolonged continuation of this trend would be harmful to Chad's competitiveness. Chad's fragile domestic production base, including for the traditional export products, and high production, capital and productivity-adjusted labor costs in other sectors, suggest that a real depreciation would help diversify its export production consistent with the forward-looking pro-poor policies for the post-oil era. Chad ranks last among 183 countries under the World Bank/IFC Doing Business 2011 index. Thus, policies to address Chad's competitiveness challenges should rely mainly on structural measures to improve the business environment.

¹ For the methodological underpinning, refer to Lee et al. (2008), *Exchange Rate Assessments: CGER Methodologies*, IMF Occasional Paper 261; and Bems and de Carvalho Filho (2009), *Exchange Rate Assessments: Methodologies for Oil Exporting Countries*, IMF Working Paper No. 09/281.

Real Effective Exchange Rate

(Index, 2005 = 100)



Source: IMF, Information Notice System.

of non-oil GDP. This is due equally to spending overruns, mainly on security, and a non-oil revenue shortfall (20 percent below expectations through May). In February, the government suspended commitments for recurrent purchases of goods and services until further notice, and suspended purchases of vehicles for investment projects until end-2012. These measures apparently did not cover extraordinary security spending, which by end-May had already reached 90 percent of budget authorization.⁵ Public investment spending has also kept pace, but priority social spending has not.

14. The authorities have taken some steps to improve the budget process, but PFM problems persist. The 2010 budget was closed at end-February (per the organic budget law) and a new macro-framework was prepared for the 2012 budget (Box 2). There was some reduction in the use of DAOs for

non-emergency spending, but extra-budgetary spending continued, notably under the conventions that allow their beneficiaries (e.g., the electricity company as a recipient of fuel subsidies, or some government suppliers) to receive payments, even absent a budget allocation. Despite high oil revenues, half of the end-2010 treasury float (5.5 percent of non-oil GDP) slipped into arrears.

15. Given the government's underlying fiscal stance, a sharp decline in oil prices remains the main risk to the budget.

Without a financial cushion in the form of government deposits, such a shock would imply a forced fiscal tightening, a significant investment slowdown, and increased domestic arrears, possibly including arrears to the central bank.⁶ In turn, government suppliers may be unable to service their debts, and banks' nonperforming loans would rise.

III. RESTORING BUDGET DISCIPLINE

Since the beginning of the oil era, Chad has pursued an expansionary and procyclical fiscal policy, straining the absorptive capacity of the economy and the public financial management (PFM) capacity of the administration (particularly procurement). Improving budget discipline will require measures to strengthen PFM, especially spending controls.

Background

16. The oil-fuelled fiscal expansion reflected mainly rapid growth in domestically-financed capital and certain primary current spending.⁷ Investment projects were launched without taking into

account the commitments associated with past or ongoing projects, while allocations

⁵ It is unclear to what extent rapid execution of extraordinary security spending was a response to emergencies linked to the conflict in Libya and rebel activity in the Central African Republic.

⁶ The government has already asked the BEAC to reschedule interest payments on statutory advances, payments that were overdue at end-2010.

⁷ Domestically-financed capital spending as a share of non-oil GDP has increased from 2.1 percent in 2003 to 12.6 percent in 2008–10. Likewise, primary current spending as a share of non-oil GDP rose from 10.3 percent in 2003 to 29.4 percent in 2008–10. In particular, the wage bill as a share of non-oil GDP increased from 5.4 percent in 2003 to 9 percent in 2008–10.

Box 2. Chad: Revisions to National Accounts

The Chadian authorities have produced new estimates of GDP for 2005–10, consistent with the 1993 System of National Accounts. Compiled with the assistance of AFRISTAT and AFRITAC Centre, these estimates are based on the 2005 input-output structure of the economy and include the informal sector.

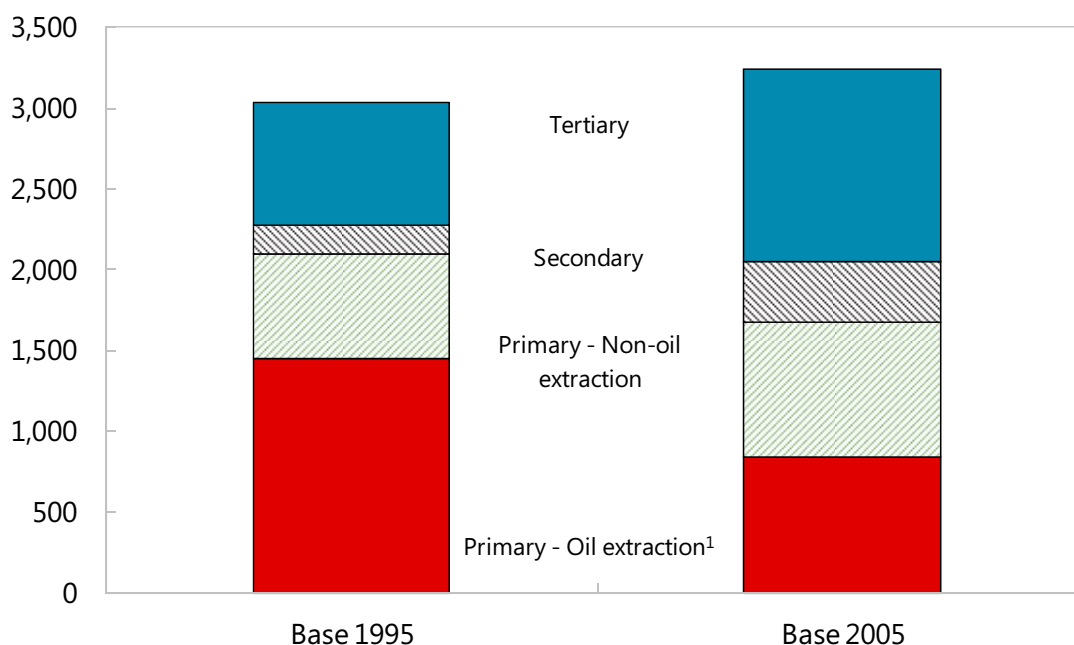
These technical improvements, coupled with recommended changes to the organization and staffing of the national statistical bureau (INSEED),

should enable Chad to produce more reliable and timely estimates of economic activity.

The ministry of finance and budget is already using the new GDP estimates for budget planning purposes. However, staff has recommended that the authorities continue to compile and publish 1995-based estimates, alongside the new series, for a period of time, until the new methodology is more widely adopted.

Nominal GDP by Sector, 2005

(Billions of CFA francs)



Source: Chadian authorities.

¹In Base 1995, this included oil-related construction, which is treated as part of Secondary in Base 2005.

for, and execution of, recurrent spending on infrastructure maintenance, health, and education lagged (Box 3).

17. PFM concerns center on the weak link between annual budgets and the poverty reduction strategy, and the many departures from orthodox expenditure

management, including weak procurement practices and bypassing of normal payment authorization procedures.⁸ Also, non-oil

⁸In 2007–10, about a third of domestically-financed spending (excluding wages and debt) were executed through procedures normally reserved for emergency spending.

Box 3. Chad: Public Expenditure Review Update

The 2011 World Bank report on Chad's Public Expenditure Review (covering the period from 2004 to 2009) found that budget execution during that period did not reflect strategic priorities set in Chad's Poverty Reduction Strategies (PRS).¹ It also identified multiple weaknesses in public expenditure management that hampered delivery of public services in health and education and other areas critical for economic and social development.

Poverty reduction objectives were broadly reflected in budgetary allocations. Priority sectors accounted on average for 62.4 percent of the total budget (excluding debt service and security) compared to the target of 62.2 percent implied by the PRS. However, within the PRS priority spending, education, health and social protection and rural development received on average only 72 percent of the shares of spending called for by the PRS. In contrast, budgeted shares for governance (including allocation for departments of justice, human rights, and decentralization, as well as the State Control Office, the Supreme Court, and Economic and Social Council) and infrastructure were respectively 26 percent higher and almost twice the implied PRS targets.

Moreover, the executed amounts of priority spending were well below the budgeted amounts. The highest rate of execution was in spending on infrastructure (90 percent of budgetary allocations) and, to a lower extent, on rural development. Spending budgeted for health and education was crowded out by unbudgeted spending in other areas. Consequently, Chad performed poorly compared with other sub-Saharan African countries in terms of its allocation of public resources (measured in percent of GDP or in per capita dollar terms) to health and education.

Shortcomings in expenditure management have contributed to Chad's failure in making serious dent into poverty reduction. Some improvements were made in budget preparation and macroeconomic forecasting, but a limited use of multi-year fiscal framework and the absence of a formal project management system created problems: there is no formal project preparation, adoption, programming, and budgeting framework. Also, a large share of expenditures being executed without prior authorization has a crowding out effect on priority spending.

Key PER recommendations to improve the execution of the PRS priority spending include: (i) simplifying the ex-ante manual oversight of delegated appropriations for regions; (ii) stopping the practice of freezing ministries' operating expenditures during preparation of budget amendments; (iii) accelerating the reorganization of the services involved in the expenditure chain; (iv) reducing the use of extraordinary spending procedures (DAOs); and (v) establishing specific procedures at the ministry of finance to guarantee that all expenditures are covered by budget appropriations prior to payment.

¹ Chad's First National Poverty Reduction Strategy (NPRS-I) was adopted in June 2003. Its implementation was undermined by persistent conflict, weak governance, and lack of ownership of economic and social reforms. A new strategy (NPRS-II)—covering the 2008–11 period—was adopted in April 2008. It focused on a narrower set of priorities than NPRS-I: creation of a business climate that is conducive to private sector growth, rural development programs, investments in human capital, and on strengthening governance.

revenue effort remains low. This lack of budget discipline has led to repeated budget overruns, cash flow difficulties, and domestic arrears.

Staff's Views

18. Staff encouraged the authorities to implement longstanding AFRITAC Centre and Fiscal Affairs Department recommendations, as well as those

contained in the recent World Bank public expenditure review and mid-term review of PARCAFIP.⁹ Staff highlighted a number of PFM measures that need to be taken urgently, including establishing a quarterly treasury plan; restricting DAOs to genuine emergency

⁹ World Bank's Project Support for Capacity Building in Public Finance.

expenditure; eliminating payments to government suppliers in excess of budget allocations; and observing strictly the public procurement code. Beyond these immediate measures, a comprehensive PFM reform program should focus on harmonizing local practices with the recently revised CEMAC guidelines. Staff encouraged the authorities to establish a timetable and identify the technical assistance needed to align Chad's PFM laws and practices with the new guidelines.

Authorities' Views

19. The authorities intend to break from the past lax PFM and budget execution, building on the steps taken to strengthen budget discipline in 2010 and 2011. They affirmed their intention to: (i) contain the NOPD overrun in 2011 to no more than the 2.5–3.0 percent of non-oil GDP accrued in the

first half of the year; and (ii) return in the second half of the year to the NOPD path implied by the 2011 budget as approved by parliament. This would ensure a NOPD reduction of about 8 percentage points of non-oil GDP compared with the 2010 outcome and, with projected 2011 oil revenue of \$2 billion, an overall surplus of about 4 percent of non-oil GDP. The measures required to achieve this adjustment are yet to be stipulated in a supplementary budget law, which would need to be passed by the newly-elected parliament. In the second half of 2011, the authorities intend to execute all investment spending through the regular budget process and to adhere strictly to the procurement rules. They also intend to introduce in the 2012 budget a clear distinction between appropriations to pay for previous projects and commitment authorizations for new projects.

IV. MEDIUM-TERM FISCAL POLICY

Chad needs a medium-term fiscal strategy that recognizes the challenges and risks of dependence on oil revenue. Its success will hinge on the government's ability to keep the investment program within realistic proportions, while strengthening non-oil revenue effort and using a portion of oil revenue as a buffer against oil price volatility.

Background

20. In view of the expected steady decline of oil production, the current fiscal stance raises concerns about sustainability.

With non-oil revenues at about 12 percent (one fourth less than the average of other oil exporting countries in sub-Saharan Africa), Chad does not have much to lean on when oil production ends. And some contemplated large public investment projects pose an additional risk.¹⁰ Also, Chad's procyclical fiscal policy makes it very vulnerable to oil price shocks; this became particularly pronounced

during 2009 slump in the oil market, leading to a sharp deterioration in both the fiscal and the external positions. Further, spending structure has been biased toward investment spending (of the brick and mortar type) with insufficient provisions for equipment purchases (e.g., for the newly-built schools and medical centers), staffing, and operations and maintenance.

¹⁰ In early 2011, the authorities signed letters of intent with Chinese enterprises for the construction of an airport (\$1 billion) and railway (\$7.5 billion); the combined total value of these projects exceeds Chad's 2011 GDP.

Staff's Views

21. Staff emphasized the need to: utilize a multiyear budget framework, smooth expenditure over the medium term, and create a savings buffer against oil price shocks. Recognizing that the current oil price outlook offers room for a less sharp fiscal adjustment than recommended last year, staff suggested reducing the NOPD gradually, along a medium-term path about 6 percentage points of non-oil GDP higher than previously recommended.¹¹

22. The additional fiscal space could be used for maintenance of infrastructure or for recurrent or capital spending (notably, on equipment) in the social sectors. Room to maneuver could be increased further by reducing subsidies to public enterprises and aligning investment spending with the absorption capacity of the economy and the need to sustain growth beyond the oil boom. In this context, staff cautioned against using the proceeds of the savings bond issue to fund new capital spending (paragraph 30). To cope with the risk inherent in depending on oil revenues, the authorities should save a part of oil revenue, identify contingencies within the investment program, and stand ready to delay

or suspend commitments to lower-priority new projects in the event of budget overruns or revenue shortfalls.

23. A prudent medium-term fiscal strategy is an asset/liability management challenge. Given the current outlook, the authorities would be able to repay statutory advances from the BEAC by 2014, as required, and during that time accumulate savings of about 12 percent of non-oil GDP. This would protect the treasury against a negative oil price shock comparable to that which occurred in 2009 and allow time for adjusting fiscal policy stance as needed. Staff thus advised the authorities to seek agreement with the BEAC on a strategy for asset/liability management to increase the expected yield from Chad's financial investments, without compromising their safety. Staff also encouraged the authorities to continue to observe the CEMAC rules on the repatriation of foreign currency-denominated revenue, and to support the program to strengthen the BEAC safeguards.

24. Considering the government has already assumed significant liabilities and risks in the context of the joint venture oil refinery with CNPC, staff recommended that the authorities commission feasibility and economic impact studies of the contemplated major infrastructure projects (railroad and airport) and—should the projects be approved as sound—seek concessional funds for their financing. Even if deemed to be economically sound, because of their magnitude and associated debt sustainability implications, these projects should be integrated in the authorities' medium-term expenditure outlook, rather than treated as additional to it (Box 4).

¹¹ The analysis in the 2010 Article IV report, based on the permanent income hypothesis (PIH), placed a sustainable NOPD within 1–5 percent of non-oil GDP, and staff recommended that this level of NOPD be reached by 2020, in step with the expected decline in oil revenues. The revised World Economic Outlook oil price baseline projections (Spring 2011 vintage) imply oil revenues during 2011–30 over 40 percent higher than projected last year. The current long-term scenario features an adjustment path that would allow the government to sustain an NOPD of about 5 percent of non-oil GDP beyond 2030. Staff also recognizes that, without undermining Chad's public debt sustainability, more borrowing from the domestic and regional market would be needed in the long term to sustain the development of the non-oil economy.

Box 4. Chad: Debt Sustainability

The staffs' assessment of Chad's debt vulnerability and risk of debt distress, which remains moderate, have not changed since the 2010 debt sustainability analysis. In the baseline scenario, public and publicly-guaranteed external debt indicators remain well below the indicative thresholds through the projection horizon. The rate of debt accumulation in 2010 (year-to-year change in the present value of debt to GDP) was lower than projected, as the authorities drew only about two-thirds of the nonconcessional budget loan.

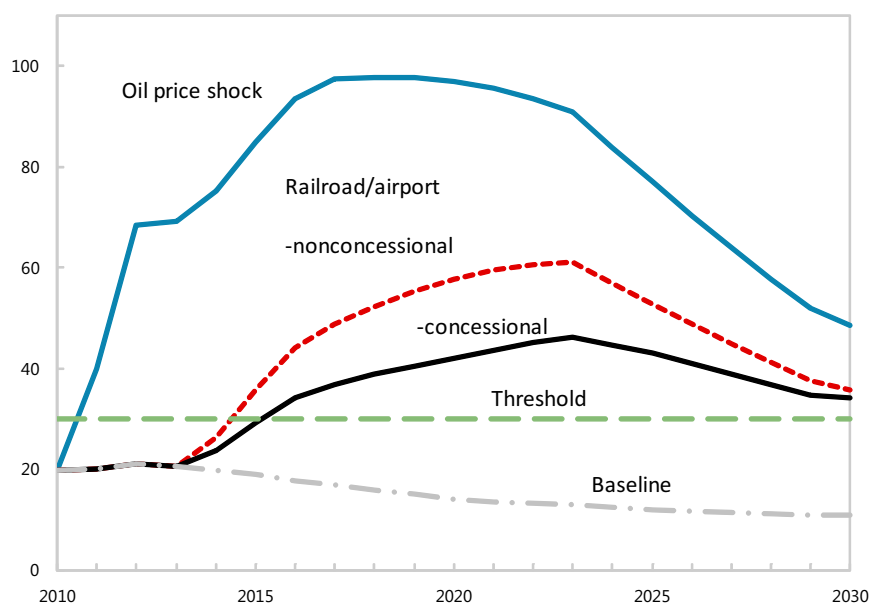
New nonconcessional borrowing for major projects could jeopardize sustainability. In the railroad/airport scenario, the authorities contract \$8.5 billion-worth of debt to finance the contemplated projects, with a grant element of 65 percent and 33 percent (in a concessional and nonconcessional variant, respectively). No growth acceleration is assumed. Under either set of terms, the debt path breaches the 30 percent

of GDP threshold in 2015 and peaks in 2023, implying an increased risk of debt distress. This analysis suggests that, even if financed concessional, these large projects pose a risk to debt sustainability and must be assessed for their benefits vis-à-vis other priority spending.

Chad's debt sustainability outlook also remains highly sensitive to an oil price shock. A shock scenario, in which export growth falls in proportion to a two-standard-deviation lower oil price, would place debt on a path that breaches and remains persistently above most debt indicator thresholds, implying an increased risk of debt distress.

Debt relief at the HIPC completion point would cut Chad's external debt by half. Debt eligible for treatment under the Enhanced HIPC Initiative and MDRI totals nearly \$1 billion in nominal terms, and its cancellation would yield debt service savings of about \$40 million per year.

Present Value of Public and Publicly-Guaranteed External Debt (Percent of GDP)



Sources: Chadian authorities; and staff estimates and projections.

Authorities' Views

25. The authorities agreed with staff that a sharp decline in oil revenues is the main risk, and their draft medium-term fiscal framework (through 2014) features a similar degree of fiscal adjustment as the scenario produced by staff (Text Table 1).

The authorities' medium-term scenario calls for an adjustment toward a sustainable NOPD; however, the authorities assume a significantly better projected end-2011 fiscal position (in NOPD) which enables a higher level of domestically-financed investment over the medium-term horizon. The authorities also share staff's concerns about limited absorptive

Text Table 1. Chad: Medium-Term Fiscal Framework, 2011–14

	2011	2012	2013	2014	2011–14 ¹
(In percent of non-oil GDP; unless otherwise indicated)					
Authorities' medium-term fiscal framework					
Revenue	34.4	45.9	36.5	35.6	1.2
Oil ²	21.0	31.4	20.8	19.4	-1.5
Non-oil	13.4	14.5	15.7	16.1	2.7
Of which: Interest income	...	...	...	...	...
Expenditures	39.4	36.3	35.2	33.8	-5.6
Current	22.2	19.3	18.6	18.0	-4.3
Of which: Interest	0.7	0.7	0.5	0.5	-0.2
Exceptional security	2.4	1.0	0.6	0.0	-2.4
Investment	17.2	17.0	16.6	15.9	-1.3
Domestically-financed	12.6	12.8	12.5	11.9	-0.7
Foreign-financed	4.5	4.2	4.1	3.9	-0.6
Non-oil primary balance (excl. grants; commitment basis)	-20.8	-16.9	-14.9	-13.3	7.5
Overall balance (excl. grants; commitment basis)	-5.0	9.6	1.3	1.7	6.7
Overall balance (excl. grants; cash basis)	-7.2	6.5	0.8	1.7	8.9
IMF staff medium-term fiscal scenario					
Revenue	44.0	38.0	34.1	33.1	-10.8
Oil	33.4	26.3	21.9	20.7	-12.7
Non-oil	10.6	11.7	12.2	12.5	1.9
Of which: Interest income	0.0	0.4	0.5	0.5	0.5
Expenditures	42.1	36.1	35.7	34.1	-8.0
Current	25.0	20.1	20.2	19.1	-5.9
Of which: Interest	0.8	0.6	0.6	0.6	-0.2
Exceptional security	5.3	1.6	1.0	0.6	-4.7
Investment	17.2	16.0	15.5	15.0	-2.2
Domestically-financed	12.6	11.0	10.5	10.0	-2.6
Foreign-financed	4.5	5.0	5.0	5.0	0.5
Non-oil primary balance (excl. grants; commitment basis)	-26.2	-19.2	-18.4	-16.6	9.6
Overall balance (excl. grants; commitment basis)	1.8	1.9	-1.6	-1.0	-2.8
Overall balance (excl. grants; cash basis)	3.9	0.7	-1.3	-1.0	-4.9
Memorandum item:					
Deposits in banks (mostly BEAC) ³	8.6	11.3	11.7	12.0	3.4
Nominal non-oil GDP (in billions of CFAF)	2,912	3,128	3,357	3,604	...

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Cumulative change.

² In 2012, the authorities expect a payment of royalties from CNPC.

³ Staff scenario.

capacity. Their scenario is predicated on a leveling-off of public investment and better procurement and project control, both of which are intended to address the pressures on absorptive capacity. The authorities also see the continued improvement in security as critical to providing fiscal space for public investment and other development spending.

26. The authorities expect that ongoing tax and customs administration reforms will strengthen non-oil revenues. Notably, the new customs data and payments processing system (SYDONIA) has already begun to improve customs revenue. They also hope that some progress can be made in eliminating arbitrary tax exemptions, which reduced non-oil tax revenue collection in early 2011.

V. THE FINANCIAL SECTOR AND THE BUSINESS ENVIRONMENT

Chad's financial system is underdeveloped and heavily exposed to the government, while local entrepreneurs remain credit-constrained and face a generally inhospitable business environment. Business-friendly tax reforms and other policy reforms could have a high yield in regard to non-oil growth.

Background

27. Compared to other low-income sub-Saharan African countries, monetization and credit to the private sector are low in Chad. The financial sector is underdeveloped, with eight commercial banks, two insurance companies, and two pension funds. Interbank transactions are minimal and there is no established liquid market for government debt. The banks were not directly affected by the global financial crisis, but are heavily exposed to the government and therefore highly vulnerable to oil price volatility. Foreign-owned private banks are well-capitalized, but domestic banks, all with significant government ownership, are not. The predominantly state-owned banks have insufficient capital, which weighs heavily on the capital adequacy indicator for the banking sector as a whole (Text Table 2).

28. Chad ranks low on international measures of the quality of the business environment.¹² Impediments to private-sector investment and trade include weak enforcement of property rights, judicial ineffectiveness, costly and unreliable electrical and telecommunications services, a lack of skilled workers, administrative and financial barriers to formally establishing a business, and the government's persistent arrears to suppliers. The tax system is needlessly burdensome to formal businesses, with a high marginal corporate income tax rate and a multitude of nuisance taxes and fees that drive up compliance costs.

¹² Chad is ranked last (183rd) in 2010 and 2011 on the IFC's [Doing Business Index](#) and on the World Economic Forum's 2010–11 [Global Competitiveness Index](#). It is near the bottom of Transparency International's [Corruption Perception 2010 Index](#) (171th out of 178).

Text Table 2. Chad: Financial Soundness Indicators, 2007–10¹

	2007	2008	2009	2010
(Ratios in percent; unless otherwise indicated)				
Capital adequacy				
Regulatory capital/Risk-weighted assets	11.1	13.3	12.1	6.7
Asset quality				
Gross nonperforming loans/Gross banking loans	11.2	8.0	10.4	12.1
Provisions/Nonperforming loans	84.4	70.2	64.6	73.5
Net nonperforming loans/Gross banking loans	1.7	2.4	3.7	3.2
Profitability²				
Return on assets	2.7	3.9	1.3	3.7
Return on equity	26.3	36.4	11.4	39.4
Liquidity				
Liquid assets/Total assets	28.3	23.9	19.9	24.5
Liquid assets/Demand deposits	66.3	82.4	85.2	73.8
Banks' ratings (number of banks rated)				
Solid or Good	6	4	4	3
Fragile	0	1	1	1
Critical	0	1	1	2
Not rated	1	1	2	2
Total	7	7	8	8

Sources: BEAC/COBAC.

¹ Based on revised and updated bank balance sheets and regulatory statements submitted to the 2011 FSAP mission.² Before taxes.**Staff's Views¹³**

29. Regarding bank stability, staff recommended that the authorities seek new private capital for predominantly state-owned banks; work with the other CEMAC members to reinforce the regional regulator's (COBAC) legal framework, and national offices' powers, to intervene in troubled banks; and align the single exposure limits with international standards.¹⁴ At the same time, staff suggested that Chadian banks strengthen their own risk management to monitor portfolio concentration. The banks' largest individual

exposures are well above the regional limit that in turn, at 45 percent of capital, is higher than international best practice suggests.

¹³ Staff's views and recommendations regarding financial sector issues draw on the observations made by the overlapping joint Bank/IMF FSAP mission. For broader discussion of CEMAC-wide financial sector issues see *Central African Economic and Monetary Community (CEMAC)—Staff Report on Common Policies of Member Countries* (SM/11/163, 07/06/11).

¹⁴ Over the current year, Chad will occupy the chair of key CEMAC councils, and the staff suggested that the authorities take this opportunity to accelerate the strengthening of the key regional institutions, the central bank (BEAC), and the prudential regulator (COBAC).

30. To promote financial sector development, staff encouraged the authorities to take the lead in issuing government debt instruments on the regional government securities market.

Encouraged by Cameroon's example, in July, the authorities completed a sale of over CFAF 100 billion of five-year bonds with a 6 percent coupon. Sixty-three percent of the issue was purchased by Chadian residents. Two-thirds of the issue was purchased by banks, local and regional. Nevertheless, staff thinks that a predictable, regular issue of short-term paper would be more efficient than occasional placements of long-term savings bonds. Given government spending commitments and the marked quarterly pattern of oil revenue inflows, good treasury management requires a short-term financing facility, to meet monthly payment pressures and avoid running domestic arrears. It would also have advantages from debt-management and financial sector development perspective.

31. Regarding the broader business environment, staff highlighted tax and regulatory measures that could be implemented quickly, based on technical assistance already received. Recommended tax measures include (i) reducing the corporate income tax rate from 40 percent to 35 percent; (ii) eliminating various special and administrative levies, especially those collected by ministries and other administrations; and (iii) eliminating, or at least reducing the minimum corporate tax from 1.5 percent to 1 percent. Recommended regulatory measures include (i) removing needless administrative

barriers to formal incorporation; (ii) establishing a one stop shop for business services; and (iii) maintaining a forum for ongoing, regular business-government dialogue.

Authorities' Views

32. The authorities welcomed the in-depth attention of the Financial Sector Assessment Program (FSAP) team to Chad's financial sector. In their preliminary reactions, the authorities expressed skepticism about the effectiveness of market signals and the private sector's ability to provide funding for businesses and households in a low-income environment. The authorities continue to favor special-purpose financial institutions and to insist on a role for government as a bank shareholder. However, they took note of the call to work with other CEMAC members to strengthen the capacity and independence of the regional regulator.

33. Regarding the proposed tax measures, the authorities agreed with the thrust of staff's suggestions. They pointed out that (i) a reduction, along with its harmonization at the CEMAC level, of the corporate income tax is of the utmost urgency; (ii) the elimination of special and administrative levies will be considered in the very short term at the government level; and (iii) a reduction of the minimum corporate income tax will be considered in the medium term, mainly for revenue reasons.

VI. RESUMING THE PATH TOWARD DEBT RELIEF

The authorities are eager to take advantage of the government's renewed political mandate to re-engage in program discussions with the IMF and World Bank to achieve the HIPC completion point as quickly as possible.

Background

34. Chad reached the Decision Point under the Enhanced HIPC Initiative in May 2001, but has been unable to complete a review under an IMF financial arrangement since 2004. A PRGF-supported program (2005) and a staff-monitored program (SMP) (2009) went off track rapidly because of fiscal slippages. Discussions on a possible SMP for 2010 were fruitless. At the conclusion of last year's Article IV consultation, directors noted that improved fiscal policy and PFM would pave the way for an agreement on an SMP.

35. The authorities have sought an agreement with IMF and World Bank staff on policies that could be supported by an SMP, which could pave the way to a successor program under the Extended Credit Facility (ECF), and to HIPC debt relief. They also plan to hold an economic policy forum in late 2011, involving a broad range of stakeholders, to consider ideas that could contribute to an updated growth and poverty reduction strategy.

Staff's Views

36. Staff is working with the Chadian authorities to put in place policies necessary for macroeconomic stability and economic growth and that could be supported under

an SMP. The agreed steps toward an SMP include (i) adopting a supplementary budget to regularize the extra-budgetary spending incurred in the first half of 2011; (ii) returning to the quarterly NOPD path implied by the original 2011 budget law for the rest of the year, while ensuring effective spending allocations for social sectors (health and education); and (iii) avoiding emergency payment procedures (DAO) for spending that lacks prior budgetary appropriation or that does not constitute a *bona fide* emergency.¹⁵

Authorities' Views

37. The authorities suggested that the HIPC scenario should be accelerated, recognizing Chad's special post-conflict circumstances and the progress in economic policy since peace was restored. The authorities also see the benefits of a closer collaboration with IMF and World Bank staffs in designing their long-term growth strategy and framing appropriately the intended foreign-financed large infrastructure projects.

¹⁵ Staff also pointed out that timely provision of complete monthly fiscal accounts and a reconciliation of the treasury net credit to the government data with the monetary survey would be required to monitor an SMP.

VII. STAFF APPRAISAL

38. Higher oil prices have relaxed financing constraints in the short term, offering additional fiscal space for growth-enhancing and poverty-reducing spending.

Continued investment in the oil sector and an impressive recovery in agriculture (shielding Chad from international food price pressure) yielded strong growth in 2010.

39. New industrial projects in oil refining, electrical generation, and cement production will contribute to stronger growth over the medium term and also help reduce the cost of public and private investment. However, these new (largely state-owned) enterprises should be operated on a sound financial basis and not rely on government financial support.

40. To sustain growth and make efficient use of its resources, Chad should rationalize its fiscal policy and improve budget execution. Building on the steps that have already been taken to improve budget preparation, strengthen procurement procedures, and reduce extra-budgetary spending, the authorities should take strong measures to improve public financial management and address the leakage of non-oil revenues, especially at customs. It is also important that the authorities follow through on plans to clear domestic arrears and continue to service domestic debt.

41. Staff commends the authorities for developing a systematic approach to medium-term fiscal programming. However, within the medium-term framework, greater focus is needed on building a savings cushion against oil price shocks, smoothing

expenditure (in particular, investment spending) to ensure sustainability, and providing adequately for recurrent social spending (e.g., on staffing, equipping, and maintaining medical centers and schools).

42. Rethinking public investment policy is needed to ensure macroeconomic stability and sustain growth. The investment program needs to be calibrated to reduce the pressure on wages, prices, and the external position. This would also help avoid pressure to resort to nonconcessional borrowing, which could undermine debt sustainability, reduces Chad's access to concessional resources, and perhaps delay Chad's achieving the HIPC Completion Point. To avoid potential abrupt stops in the execution of the public investment program, a portion of investment outlays should be made contingent on the realization of optimistic oil or non-oil revenue forecasts.

43. The private sector should be able to operate more freely, to be in a position to contribute to growth, economic diversification, and job creation. The establishment of a one stop shop for investors is a priority. Regulatory actions to improve the business environment should be supplemented by tax policy measures to strengthen incentives for private investment and foster compliance.

44. Policy actions are needed to enable Chad to take advantage of favorable international market conditions for cotton exports. To that end, an in-depth restructuring of Cotontchad is essential, along with greater participation of the private sector

in the cotton industry for it to become a source of growth, rural development, and poverty reduction.

45. Chad could show leadership in the development of the regional money market by regularly issuing short-term treasury bills as soon as it is technically feasible. This would improve government liquidity management and reduce payment delays, and would also contribute to financial sector development by sending, CEMAC-wide, a clear market signal of a point on the yield curve. Government involvement in ownership and management of banks is excessive, and the provision of capital by new private partners would be beneficial.

46. Staff is responding to the authorities' renewed interest in an SMP, which could pave the way to an ensuing program under the ECF and to the HIPC Completion Point. This new start must be well prepared to ensure success of the program. The staff thus welcomed the proposed economic policy conference and plans to participate, alongside other international development partners, to help articulate policies that could be supported by an SMP and a subsequent ECF arrangement.

47. Staff recommends that the next Article IV consultation with Chad be held on the regular 12-month consultation cycle, in accordance with the decision on Article IV consultation cycles.

Table 1. Chad: Selected Economic and Financial Indicators, 2009–16¹

	2009	2010		2011		2012	2013	2014	2015	2016
	Est.	Proj. ¹	Est.	Proj. ¹	Rev. Proj.	Projections				
(Annual percentage change, unless otherwise indicated)										
Real economy										
GDP at constant prices	-1.2	4.3	13.0	3.9	3.1	7.4	3.2	3.2	3.3	3.5
Oil GDP	-5.1	2.1	6.4	-2.2	-1.8	10.4	-4.9	-4.4	-4.5	-3.9
Non-oil GDP	0.1	4.9	16.8	5.5	3.6	6.0	5.3	5.0	5.0	5.0
Consumer price index (period average)	-2.1	6.0	-2.1	3.0	2.0	5.0	3.0	3.0	3.0	3.0
Oil prices										
WEO (US\$/barrel)	61.8	78.3	79.0	82.5	106.3	105.3	101.8	99.5	98.8	98.5
Chadian price (US\$/barrel) ²	55.5	68.3	73.6	72.5	99.8	98.8	95.3	93.0	92.3	92.0
Oil production (in millions of barrels)	43.6	44.0	44.7	43.0	44.2	46.8	44.4	42.2	40.1	38.1
Exchange rate CFAF per US\$ (period average)	471.0	...	494.4	...	...	...	...	...	...	...
Money and credit ³										
Net foreign assets	-71.1	-0.7	13.6	14.4	42.1	25.1	...	...	...	...
Net domestic assets	67.1	20.7	11.8	-5.2	-29.4	-16.0	...	...	...	...
Of which: net claims on central government	68.3	16.1	5.0	-8.3	-33.1	-19.6	...	...	...	...
Of which: credit to private sector	5.3	4.6	8.4	3.6	3.7	3.6	...	...	...	...
Broad money	-4.0	20.0	25.4	9.2	12.7	9.1	...	...	...	...
Income velocity (non-oil GDP/broad money)	4.5	4.1	4.3	4.1	4.3	4.3	...	...	...	...
External sector (valued in CFA francs)										
Exports of goods and services, f.o.b.	-27.5	21.2	37.2	3.4	29.0	-3.6	-4.6	-3.1	-1.8	-1.3
Imports of goods and services, f.o.b.	20.5	14.1	46.3	-5.6	-13.9	-27.3	-3.3	-0.1	-3.3	-3.4
Export volume	-7.9	-8.3	-4.9	-3.3	1.0	-3.4	-3.7	-3.6	-3.6	-3.5
Import volume	27.5	16.8	49.9	-17.0	-10.2	-21.7	-7.8	-4.0	-5.5	-5.4
Terms of trade	-44.9	24.9	41.6	4.0	24.0	0.2	-1.5	0.0	1.5	1.9
Current account, including official transfers (in percent of GDP)	-18.3	-33.1	-34.6	-26.1	-23.9	-16.9	-11.7	-11.0	-10.1	-9.7
Overall balance of payments (in percent of GDP)	-10.6	0.5	0.8	2.4	5.5	3.6	0.8	0.3	0.3	0.0
External debt (in percent of GDP)	23.0	27.4	25.0	27.8	23.8	23.8	23.2	22.2	21.3	20.2
NPV of external debt (in percent of exports of goods and services)	39.7	52.3	43.9	57.1	38.4	41.7	51.3	54.6	57.1	58.5
(In percent of non-oil GDP, unless otherwise indicated)										
Government finance										
Revenue	25.2	37.2	38.7	34.7	44.0	38.0	34.1	33.1	30.6	28.6
Of which: non-oil	12.0	12.0	12.5	12.9	10.6	11.7	12.2	12.5	12.7	13.1
Expenditure	46.1	49.7	49.9	36.3	42.1	36.1	35.7	34.1	32.8	32.4
Current	29.7	33.5	29.6	22.6	25.0	20.1	20.2	19.1	18.3	17.9
Capital	16.5	16.2	20.2	13.8	17.2	16.0	15.5	15.0	14.5	14.5
Non-oil primary balance (commitment basis, excl. grants) ⁴	-28.1	-31.8	-31.2	-17.7	-26.2	-19.2	-18.4	-16.6	-15.1	-14.3
Overall fiscal balance (cash basis, excl. grants)	-20.8	-10.6	-9.3	-1.0	3.9	0.7	-1.3	-1.0	-2.1	-3.5
Total debt (in percent of GDP) ⁵	30.5	34.2	32.6	32.4	29.5	27.9	27.8	25.8	24.5	24.6
Of which: domestic debt	7.5	6.8	7.6	4.6	5.7	4.1	4.6	3.5	3.1	4.4
(In percent of GDP)										
Investment and saving										
Investment	36.9	36.8	37.9	34.7	28.9	19.7	18.9	18.0	18.0	18.2
Government	8.8	10.2	12.3	8.8	11.2	11.0	11.1	11.1	11.0	11.3
Private sector	28.1	25.6	25.6	24.9	17.8	8.7	7.8	6.9	7.1	7.0
Of which: oil sector	11.4	24.0	21.2	17.1	13.0	3.7	2.6	1.5	1.5	1.3
Saving	18.6	3.7	3.3	8.6	5.1	2.8	7.3	7.0	7.9	8.5
Government	0.6	3.9	7.2	9.4	14.2	14.7	12.5	12.9	12.0	11.1
Private sector	18.0	-0.2	-3.9	-0.8	-9.1	-11.9	-5.2	-5.9	-4.0	-2.6
Memorandum items:										
Nominal GDP (in billions of CFA francs)	3,344	3,758	4,230	4,032	4,476	4,537	4,689	4,890	5,119	5,369
Of which: non-oil GDP	2,138	2,369	2,584	2,587	2,912	3,128	3,357	3,604	3,875	4,171

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ IMF Country Report No. 10/196; Chad–Staff Report for the 2010 Article IV Consultation.² Chadian oil price is WEO price minus quality discount.³ Changes as a percent of broad money stock at beginning of period.⁴ Defined as the total revenue excluding grants and oil revenue, minus total expenditure excluding net interest payments and foreign-financed investment.⁵ Central government.

Table 2. Chad: GDP by Sector, 2009–16
(Annual percentage change, unless otherwise indicated)

	Weight ¹	2009	2010		2011		2012	2013	2014	2015	2016
		Est.	Proj. ²	Est.	Proj. ²	Rev. Proj.	Projections				
Primary sector	41.2	-6.0	5.3	19.7	2.0	-4.8	4.8	-0.3	-0.1	0.2	0.5
Agriculture	8.5	-11.5	18.7	85.0	9.0	-15.4	5.1	4.8	4.7	4.7	4.9
Food crops	8.2	-8.3	18.0	85.3	8.3	-16.3	5.0	4.8	4.7	4.7	5.0
Industrial crops	0.4	-51.2	31.8	78.0	20.6	7.3	7.4	5.1	4.7	4.7	3.0
Livestock	9.0	-1.8	2.8	1.5	2.8	2.5	2.3	2.9	3.2	3.2	3
Fishing and forestry	2.0	5.8	4.4	7.0	4.4	2.5	2.3	2.9	3.2	3.2	3.2
Oil production	21.6	-6.3	0.8	2.7	-2.2	-1.1	5.8	-5.1	-5.0	-5.0	-4.9
Secondary sector	10.7	1.4	-0.3	4.6	6.1	25.1	20.3	8.5	6.1	5.3	5.5
Manufacturing ³	2.3	-9.7	-27.5	-10.5	19.5	20.0	33.0	16.8	12.0	8.0	8.0
Of which: cotton processing	0.8	-33.8	-59.0	-49.6	35.0	60.9	27.3	25.0	12.0	12.0	12.0
Handicrafts	4.7	5.0	3.5	5.3	3.5	10.8	7.2	3.8	4.3	4.3	4.3
Electricity and water ⁴	0.8	8.7	6.0	14.5	8.0	14.4	38.5	40.5	9.3	9.3	7.3
Construction and public works	2.9	3.4	8.0	12.4	4.5	-2.1	1.0	5.0	6.0	6.0	5.5
Of which: oil construction	1.1	18.2	25.5	76.9	-1.3	-45.8	-73.4	-38.9	3.2	-12.8	51.0
Tertiary sector	44.4	2.8	4.6	8.8	5.0	7.0	5.2	4.5	4.9	5.1	5.1
Commerce, transport, and telecommunication	20.8	-0.6	4.4	16.6	6.6	6.9	5.0	6.1	6.1	6.1	6.2
Commerce	18.2	-0.5	4.1	17.7	6.5	4.9	4.5	5.8	5.8	5.8	5.8
Transport and telecommunication	2.6	-1.6	6.0	8.9	7.5	21.5	8.0	8.0	8.0	8.0	8.0
General government	15.5	11.7	5.7	0.2	3.0	5.5	5.2	1.3	3.0	3.0	3.0
Other	8.1	-3.3	3.6	5.7	3.6	10.4	6.0	5.7	4.7	5.7	5.7
Non-oil GDP (excluding oil production and investment)	77.3	0.1	4.9	16.8	5.5	3.6	6.0	5.3	5.0	5.0	5.0
Oil sector GDP (including investment in oil sector)	22.7	-5.1	2.1	6.4	-2.2	-1.8	10.4	-4.9	-4.4	-4.5	-3.9
Total GDP	100.0	-1.2	4.3	13.0	3.9	3.1	7.4	3.2	3.2	3.3	3.5

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Share of 2009 GDP.

² IMF Country Report No. 10/196; Chad—Staff Report for the 2010 Article IV Consultation.

³ Manufacturing includes a new oil refinery starting production in 2011.

⁴ Electricity and water include a new power plant starting operation in 2012.

Table 3. Chad: Fiscal Operations of the Central Government, 2009–16

(In billions of CFA francs, unless otherwise indicated)

	2009		2010		2011		2012	2013	2014	2015	2016
	Est.	Proj. ¹	Est.	Budget	Proj.	Projections					
Revenue	540	882	1,000	1,001	1,280	1,189	1,145	1,194	1,187	1,194	
Oil	284	599	676	611	973	823	735	745	695	648	
Non-oil	256	283	324	391	308	366	409	449	492	546	
Tax	239	269	313	371	288	336	371	407	445	494	
Non-tax	16	15	11	20	19	30	38	42	47	51	
Expenditure	987	1,176	1,289	1,147	1,227	1,129	1,197	1,229	1,270	1,350	
Current	634	793	766	648	727	628	677	688	708	745	
Wages and salaries	201	212	216	260	263	299	326	347	370	395	
Goods and services	110	95	111	109	79	153	179	187	195	211	
Transfers and subsidies	302	467	411	259	362	156	151	133	122	116	
Interest	21	19	29	20	23	19	21	21	20	22	
Domestic	5	8	14	10	13	9	10	9	8	9	
External	16	11	16	10	10	10	11	12	12	13	
Investment	353	384	522	499	500	500	520	541	562	605	
Domestically financed	242	264	392	368	368	344	352	360	368	396	
Foreign financed	111	120	130	132	132	156	168	180	194	209	
Non-oil primary balance (excl. grants, commitment) ²	-601	-754	-805	-604	-764	-600	-617	-599	-586	-597	
Overall balance (excl. grants, commitment)	-447	-294	-288	-146	54	60	-52	-35	-83	-156	
Payment of arrears ³	-83	-110	-159	0	-142	-202	-163	-171	-170	-171	
Float ⁴	85	154	142	19	202	163	171	170	171	181	
Errors and omissions	2	...	64	...	...	...	...	...	...	...	
Overall balance (excl. grants, cash)	-444	-251	-241	-127	113	22	-45	-35	-82	-146	
Financing	444	251	241	127	-113	-22	45	35	82	146	
Domestic financing	327	24	60	28	-212	-146	-66	-85	-51	0	
Bank financing	328	77	50	15	-198	-132	-52	-70	-58	-41	
Central Bank (BEAC)	327	76	49	23	-190	-148	-81	-83	-80	-77	
Deposits ("+" = drawdown)	211	57	-23	69	-145	-105	-38	-41	-39	-77	
Advances (net)	120	25	76	-42	-42	-42	-42	-42	-42	0	
IMF (reimbursement)	-4	-5	-4	-4	-4	-2	-1	-1	0	0	
Commercial banks	0	0	0	-8	-7	16	29	13	23	36	
Non-bank financing (net)	-1	-73	0	-14	-14	-14	-14	-15	7	42	
Privatization	1	20	10	27	0	0	0	0	0	0	
Foreign financing	117	227	181	98	98	124	111	120	133	146	
Grants	115	87	69	80	80	108	116	125	134	144	
Budget support	35	0	0	0	0	0	0	0	0	0	
Project	80	87	69	80	80	108	116	125	134	144	
Loans (net)	1	139	112	18	18	16	-5	-5	-1	2	
Disbursements	30	174	157	51	51	48	52	55	60	64	
Amortization	-29	-35	-45	-33	-33	-32	-56	-60	-61	-63	
<i>Memorandum items:</i>											
Non-oil GDP	2,138	2,369	2,584	2,913	2,912	3,128	3,357	3,604	3,875	4,171	
Deposits in banks (mostly BEAC)	82	24	105	36	250	354	392	433	471	549	
BEAC statutory advances	142	166	209	166	166	125	83	42	0	0	

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ IMF Country Report No. 10/196; Chad–Staff Report for the 2010 Article IV Consultation.² Defined as the total revenue excluding grants and oil revenue, minus total expenditure excluding net interest payments and foreign-financed investment.³ Prior to 2011, this reflects clearance of arrears from previous periods. From 2011 onwards, this assumes that float from previous year is cleared.⁴ Difference between committed and paid expenditure.

Table 3a. Chad: Statement of Operations of the Central Government, 2009–16¹

(In billions of CFA francs, unless otherwise indicated)

	2009	2010		2011		2012	2013	2014	2015	2016
	Est.	Proj.	Est.	Budget	Proj.	Projections				
Revenue	655	970	1,069	1,082	1,361	1,297	1,261	1,319	1,321	1,338
Taxes	433	689	781	787	1,002	940	916	968	970	983
<i>Of which: income tax related to oil activities</i>	194	420	469	416	714	604	545	561	525	489
Grants	115	87	69	80	80	108	116	125	134	144
Other revenue	107	194	219	214	278	249	229	226	217	211
<i>Of which: interest</i>	1	0	0	0	0	12	18	20	22	24
<i>Of which: rent (oil revenue)</i>	90	179	208	195	259	219	191	184	170	160
Expenditures	987	1,176	1,289	1,147	1,227	1,129	1,197	1,229	1,270	1,350
Expense	634	793	766	648	727	628	677	688	708	745
Compensation of employees	201	212	216	260	263	299	326	347	370	395
Use of goods and services	110	95	111	109	79	153	179	187	195	211
Interest	21	19	29	20	23	19	21	21	20	22
To nonresidents	16	11	16	10	10	10	11	12	12	13
To residents other than general government	5	8	14	10	13	9	10	9	8	9
Subsidies	16	32	29	31	31	16	17	17	18	17
Grants	93	183	162	177	177	90	99	96	100	99
Other Expense	193	252	220	51	154	50	35	20	5	0
Net acquisition of nonfinancial assets	353	384	522	499	500	500	520	541	562	605
Domestically financed	242	264	392	368	368	344	352	360	368	396
Foreign financed	111	120	130	132	132	156	168	180	194	209
Net lending/borrowing (overall balance, incl. grants)	-332	-207	-220	-65	134	168	64	90	51	-11
Primary non-oil net lending/ borrowing	-596	-787	-867	-656	-815	-648	-669	-654	-645	-661
Financial assets	-213	-78	13	-96	145	105	38	41	39	77
Domestic	-213	-78	13	-96	145	105	38	41	39	77
Currency and deposits ("+" = buildup)	-212	-58	23	-69	145	105	38	41	39	77
BEAC	-211	-57	23	-69	145	105	38	41	39	77
Commercial banks	-1	-1	0	0	0	0	0	0	0	0
Equity and investment fund shares	-1	-20	-10	-27	0	0	0	0	0	0
Foreign	0	0	0	0	0	0	0	0	0	0
Liabilities	117	129	168	-30	11	-64	-26	-49	-13	89
Domestic	116	-10	56	-48	-7	-80	-21	-44	-11	87
Currency and deposits	0	0	0	0	0	0	0	0	0	0
Loans	114	-54	72	-68	-67	-41	-29	-44	-13	78
<i>Of which: BEAC</i>	116	19	72	-46	-46	-44	-43	-42	-42	0
<i>Of which: commercial banks</i>	0	0	0	-8	-7	16	29	13	23	36
Other accounts payable	1	43	-17	19	60	-39	7	-1	1	10
Foreign	1	139	112	18	18	16	-5	-5	-1	2
Loans	1	139	112	18	18	16	-5	-5	-1	2
Statistical discrepancies	-2	0	-65	0	0	0	0	0	0	0
<i>Memorandum items:</i>										
Non-oil GDP	2,138	2,369	2,584	2,913	2,912	3,128	3,357	3,604	3,875	4,171
Oil revenue	284	599	676	611	973	823	735	745	695	648
Non-oil revenue	371	371	393	471	388	474	526	573	626	690
Deposits in banks (mostly BEAC)	82	24	105	36	250	354	392	433	471	549
Net domestic financing—banking sector	-328	-77	-49	-15	198	132	52	70	58	41

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Presentation of fiscal table according to *Government Finance Statistics Manual 2001*.

Table 3b. Chad: Integrated Financial Balance Sheet of the Central Government, 2011–13¹

(In billions of CFA francs, unless otherwise indicated)

	2011			2012		2013	
	Opening balance	Transactions	Closing/opening balance	Transactions	Closing/opening balance	Transactions	Closing/ opening balance
Financial assets	104	145	249	105	353	38	391
Domestic	104	145	249	105	353	38	391
Currency and deposits	104	145	249	105	353	38	391
Equity and investment fund shares	0	0	0	0	0	0	0
Foreign	0	0	0	0	0	0	0
Liabilities	1,124	11	1,134	-64	1,070	-26	1,044
Domestic	355	-7	347	-80	267	-21	246
Currency and deposits	1	0	1	0	1	0	1
Loans	354	-67	287	-41	245	-29	217
Other accounts payable	174	60	234	-39	195	7	202
Foreign	769	18	787	16	803	-5	798
Loans	769	18	787	16	803	-5	798

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Presentation according to *Government Finance Statistics Manual 2001*.

Table 4. Chad: Fiscal Operations of the Central Government, 2009–16¹
(In percent of non-oil GDP, unless otherwise indicated)

	2009	2010		2011		2012	2013	2014	2015	2016
	Est.	Proj. ¹	Est.	Budget	Proj.	Projections				
Revenue	25.2	37.2	38.7	34.4	44.0	38.0	34.1	33.1	30.6	28.6
Oil	13.3	25.3	26.2	21.0	33.4	26.3	21.9	20.7	17.9	15.5
Non-oil	12.0	12.0	12.5	13.4	10.6	11.7	12.2	12.5	12.7	13.1
Tax	11.2	11.3	12.1	12.7	9.9	10.7	11.1	11.3	11.5	11.9
Non-tax	0.8	0.6	0.4	0.7	0.7	1.0	1.1	1.2	1.2	1.2
Expenditure	46.1	49.7	49.9	39.4	42.1	36.1	35.7	34.1	32.8	32.4
Current	29.7	33.5	29.6	22.2	25.0	20.1	20.2	19.1	18.3	17.9
Wages and salaries	9.4	8.9	8.3	8.9	9.0	9.6	9.7	9.6	9.6	9.5
Goods and services	5.2	4.0	4.3	3.7	2.7	4.9	5.3	5.2	5.0	5.1
Transfers and subsidies	14.1	9.1	7.4	8.9	12.4	5.0	4.5	3.7	3.2	2.8
Interest	1.0	0.8	1.1	0.7	0.8	0.6	0.6	0.6	0.5	0.5
Domestic	0.2	0.4	0.5	0.3	0.4	0.3	0.3	0.3	0.2	0.2
External	0.7	0.5	0.6	0.4	0.4	0.3	0.3	0.3	0.3	0.3
Investment	16.5	16.2	20.2	17.1	17.2	16.0	15.5	15.0	14.5	14.5
Domestically financed	11.3	11.1	15.2	12.6	12.6	11.0	10.5	10.0	9.5	9.5
Foreign financed	5.2	5.1	5.0	4.5	4.5	5.0	5.0	5.0	5.0	5.0
Non-oil primary balance (excl. grants, commitment) ²	-28.1	-31.8	-31.2	-20.8	-26.2	-19.2	-18.4	-16.6	-15.1	-14.3
Overall balance (excl. grants, commitment)	-20.9	-12.4	-11.2	-5.0	1.8	1.9	-1.6	-1.0	-2.1	-3.7
Payment of arrears ³	-3.9	-4.7	-6.2	0.0	-4.9	-6.5	-4.9	-4.7	-4.4	-4.1
Float ⁴	4.0	6.5	5.5	0.7	6.9	5.2	5.1	4.7	4.4	4.3
Errors and omissions	0.1	...	2.5	...	...	...	...	...	...	...
Overall balance (excl. grants, cash)	-20.8	-10.6	-9.3	-4.3	3.9	0.7	-1.3	-1.0	-2.1	-3.5
Financing	20.8	10.6	9.3	4.3	-3.9	-0.7	1.3	1.0	2.1	3.5
Domestic financing	15.3	1.0	2.3	1.0	-7.3	-4.7	-2.0	-2.3	-1.3	0.0
Bank financing	15.3	3.2	1.9	0.5	-6.8	-4.2	-1.5	-1.9	-1.5	-1.0
Central Bank (BEAC)	15.3	3.2	1.9	0.8	-6.5	-4.7	-2.4	-2.3	-2.1	-1.9
Deposits ("+" = drawdown)	9.9	2.4	-0.9	2.4	-5.0	-3.3	-1.1	-1.1	-1.0	-1.9
Advances (net)	5.6	1.0	2.9	-1.4	-1.4	-1.3	-1.2	-1.2	-1.1	0.0
IMF (reimbursement)	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	0.0	0.0	0.0	0.0
Commercial banks	0.0	0.0	0.0	-0.3	-0.3	0.5	0.9	0.4	0.6	0.9
Non-bank financing (net)	-0.1	-3.1	0.0	-0.5	-0.5	-0.5	-0.4	-0.4	0.2	1.0
Privatization	0.0	0.8	0.4	0.9	0.0	0.0	0.0	0.0	0.0	0.0
Foreign financing	5.5	9.6	7.0	3.4	3.4	4.0	3.3	3.3	3.4	3.5
Grants	5.4	3.7	2.7	2.8	2.8	3.5	3.5	3.5	3.5	3.5
Budget support	1.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Project	3.8	3.7	2.7	2.8	2.8	3.5	3.5	3.5	3.5	3.5
Loans (net)	0.1	5.9	4.3	0.6	0.6	0.5	-0.1	-0.1	0.0	0.0
Disbursements	1.4	7.3	6.1	1.8	1.8	1.5	1.5	1.5	1.5	1.5
Budget borrowings	0.0	6.0	3.7	0.0	0.0	...	...	...	...	...
Amortization	-1.4	-1.5	-1.7	-1.1	-1.1	-1.0	-1.7	-1.7	-1.6	-1.5
<i>Memorandum items:</i>										
Non-oil GDP (in billions of CFA francs)	2,138	2,369	2,584	2,913	2,912	3,128	3,357	3,604	3,875	4,171
Deposits in banks (mostly BEAC)	3.8	1.0	4.1	1.2	8.6	11.3	11.7	12.0	12.2	13.2
BEAC statutory advances	6.6	7.0	8.1	5.7	5.7	4.0	2.5	1.2	0.0	0.0

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ IMF Country Report No. 10/196; Chad–Staff Report for the 2010 Article IV Consultation.

² Defined as the total revenue excluding grants and oil revenue, minus total expenditure excluding net interest payments and foreign-financed investment.

³ Prior to 2011, this reflects clearance of arrears from previous periods. From 2011 onwards, this assumes that float from previous year is cleared.

⁴ Difference between committed and paid expenditure.

Table 4a. Chad: Statement of Operations of the Central Government, 2009–16¹

(In percent of non-oil GDP, unless otherwise indicated)

	2009	2010		2011		2012	2013	2014	2015	2016
	Est.	Proj.	Est.	Budget	Proj.	Projections				
Revenue	30.6	40.9	41.4	37.1	46.7	41.5	37.6	36.6	34.1	32.1
Taxes	20.3	29.1	30.2	27.0	34.4	30.0	27.3	26.9	25.0	23.6
<i>Of which</i> : income tax related to oil activities	9.1	17.7	18.1	14.3	24.5	19.3	16.2	15.6	13.5	11.7
Grants	5.4	3.7	2.7	2.8	2.8	3.5	3.5	3.5	3.5	3.5
Other revenue	5.0	8.2	8.5	7.4	9.5	8.0	6.8	6.3	5.6	5.1
<i>Of which</i> : interest	0.0	0.0	0.0	0.0	0.0	0.4	0.5	0.5	0.6	0.6
<i>Of which</i> : rent (oil revenue)	4.2	7.6	8.0	6.7	8.9	7.0	5.7	5.1	4.4	3.8
Expenditures	46.1	49.7	49.9	39.4	42.1	36.1	35.7	34.1	32.8	32.4
Expense	29.7	33.5	29.7	22.2	25.0	20.1	20.2	19.1	18.3	17.9
Compensation of employees	9.4	8.9	8.3	8.9	9.0	9.6	9.7	9.6	9.6	9.5
Use of goods and services	5.2	4.0	4.3	3.7	2.7	4.9	5.3	5.2	5.0	5.1
Interest	1.0	0.8	1.1	0.7	0.8	0.6	0.6	0.6	0.5	0.5
To nonresidents	0.7	0.5	0.6	0.4	0.4	0.3	0.3	0.3	0.3	0.3
To residents other than general government	0.2	0.4	0.5	0.3	0.4	0.3	0.3	0.3	0.2	0.2
Subsidies	0.8	1.4	1.1	1.1	1.1	0.5	0.5	0.5	0.5	0.4
Grants	4.3	7.7	6.3	6.1	6.1	2.9	2.9	2.7	2.6	2.4
Other Expense	9.0	10.6	8.5	1.7	5.3	1.6	1.0	0.6	0.1	0.0
Net acquisition of nonfinancial assets	16.5	16.2	20.2	17.1	17.2	16.0	15.5	15.0	14.5	14.5
Domestically financed	11.3	11.1	15.2	12.6	12.6	11.0	10.5	10.0	9.5	9.5
Foreign financed	5.2	5.1	5.0	4.5	4.5	5.0	5.0	5.0	5.0	5.0
Net lending/ borrowing (overall balance, incl. grants)	-15.5	-8.7	-8.5	-2.2	4.6	5.4	1.9	2.5	1.3	-0.3
Primary non-oil net lending/ borrowing	-27.9	-33.2	-33.5	-22.5	-28.0	-20.7	-19.9	-18.2	-16.7	-15.8
Financial assets	-10.0	-3.3	0.5	-3.3	5.0	3.3	1.1	1.1	1.0	1.9
Domestic	-10.0	-3.3	0.5	-3.3	5.0	3.3	1.1	1.1	1.0	1.9
Currency and deposits ("+" = buildup)	-9.9	-2.4	0.9	-2.4	5.0	3.3	1.1	1.1	1.0	1.9
BEAC	-9.9	-2.4	0.9	-2.4	5.0	3.3	1.1	1.1	1.0	1.9
Commercial banks	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Equity and investment fund shares	0.0	-0.8	-0.4	-0.9	0.0	0.0	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Liabilities	5.5	5.4	6.5	-1.0	0.4	-2.0	-0.8	-1.4	-0.3	2.1
Domestic	5.4	-0.4	2.2	-1.7	-0.3	-2.6	-0.6	-1.2	-0.3	2.1
Currency and deposits	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Loans	5.3	-2.3	2.8	-2.3	-2.3	-1.3	-0.9	-1.2	-0.3	1.9
<i>Of which</i> : BEAC	5.4	0.8	2.8	-1.6	-1.6	-1.4	-1.3	-1.2	-1.1	0.0
<i>Of which</i> : commercial banks	0.0	0.0	0.0	-0.3	-0.3	0.5	0.9	0.4	0.6	0.9
Other accounts payable	0.1	1.8	-0.6	0.7	2.1	-1.2	0.2	0.0	0.0	0.2
Foreign	0.1	5.9	4.3	0.6	0.6	0.5	-0.1	-0.1	0.0	0.0
Loans	0.1	5.9	4.3	0.6	0.6	0.5	-0.1	-0.1	0.0	0.0
Statistical discrepancies	-0.1	0.0	-2.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0
<i>Memorandum items:</i>										
Non-oil GDP	2,138	2,369	2,584	2,913	2,912	3,128	3,357	3,604	3,875	4,171
Oil revenue	13.3	25.3	26.2	21.0	33.4	26.3	21.9	20.7	17.9	15.5
Non-oil revenue	17.4	15.6	15.2	16.2	13.3	15.2	15.7	15.9	16.2	16.5
Deposits in banks (mostly BEAC)	3.8	1.0	4.1	1.2	8.6	11.3	11.7	12.0	12.2	13.2
Net domestic financing—banking sector	-15.3	-3.2	-1.9	-0.5	6.8	4.2	1.5	1.9	1.5	1.0

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ Presentation of fiscal table according to *Government Finance Statistics Manual 2001*.

Table 5. Chad: Balance of Payments, 2009–16
(In billions of CFA francs, unless otherwise indicated)

	2009	2010	2011	2012	2013	2014	2015	2016
	Est.	Est.	Projections					
Current account, incl. official current transfers	-575.1	-1,464.8	-1,068.7	-766.6	-546.8	-538.0	-518.3	-524.2
Trade balance, incl. oil sector	143.0	6.5	429.6	610.8	659.7	609.7	527.3	442.3
Exports, f.o.b.	1,358.0	1,779.6	2,153.0	2,015.6	1,780.1	1,673.5	1,606.4	1,550.5
Of which: oil	1,153.5	1,587.5	1,929.3	1,789.8	1,540.9	1,421.3	1,330.3	1,251.2
Imports, f.o.b.	-1,214.9	-1,773.1	-1,723.3	-1,404.8	-1,120.4	-1,063.9	-1,079.0	-1,108.2
Services (net)	-772.0	-1,446.2	-1,368.9	-1,201.3	-1,081.2	-1,025.7	-975.2	-929.5
Income (net)	-191.8	-342.0	-467.0	-533.8	-507.8	-515.4	-486.7	-477.1
Transfers (net)	245.6	316.9	337.6	357.6	382.5	393.5	416.3	440.1
Official (net)	34.6	22.4	26.0	28.2	30.5	32.9	35.7	38.6
Private (net)	211.0	294.5	311.6	329.4	352.0	360.6	380.7	401.5
Financial and capital account	220.0	1,499.8	1,313.1	931.6	586.6	553.4	535.9	525.6
Capital transfers	69.1	43.7	80.4	108.2	116.1	124.7	134.1	144.3
Foreign direct investment	522.0	960.7	875.3	561.4	484.3	442.6	412.1	388.9
FDI linked to oil production	557.1	1,078.8	993.4	679.5	602.4	560.7	530.2	507.0
Other medium and long term investment	-7.8	103.1	8.8	6.9	-13.9	-13.9	-10.3	-7.7
Public sector	1.1	112.2	18.0	16.0	-4.7	-4.7	-1.1	1.5
Private sector	-8.9	-9.2	-9.2	-9.2	-9.2	-9.2	-9.2	-9.2
Short-term capital (incl. errors and omissions)	-366.3	389.4	348.6	255.1	0.0	0.0	0.0	0.0
Overall balance	-355.1	35.0	244.4	164.9	39.8	15.4	17.6	1.4
Financing	355.1	-35.0	-244.4	-164.9	-39.8	-15.4	-17.6	-1.4
Net foreign assets (BEAC)	355.1	-35.0	-244.4	-164.9	-39.8	-15.4	-17.6	-1.4
<i>Memorandum items:</i>								
Gross official reserves (imputed reserves, billions of US\$)	0.6	0.6	0.8	1.1	0.4	0.4	0.5	0.5
(In months of imports of following year's goods and services)	1.0	1.2	2.4	3.7	4.1	4.3	4.4	4.3
(Idem, excluding oil-sector imports)	3.0	2.7	5.8	9.2	9.3	9.1	8.9	8.4

Sources: Chadian authorities; and IMF staff estimates and projections.

Table 6. Chad: Monetary Survey, 2008–12
(In billions of CFA francs)

	2008	2009	2010		2011		2012
		Est.	Proj. ¹	Est.	Proj. ¹	Rev. Proj.	Proj.
Net foreign assets	622.4	269.6	272.5	334.5	354.6	586.1	754.9
Central bank	613.9	258.8	261.0	293.8	336.0	538.2	703.1
Commercial banks	8.5	10.9	11.6	40.7	18.7	47.9	51.8
Net domestic assets	-126.3	206.4	298.8	262.5	269.1	86.8	-20.5
Domestic credit	-74.0	290.7	366.3	354.3	339.8	178.7	71.3
Claims on the government (net) ²	-252.0	86.7	140.5	110.5	93.3	-87.3	-219.0
Treasury (net)	-225.2	110.8	164.6	175.2	117.4	-25.0	-159.9
Banking sector	-244.4	72.5	154.4	166.9	109.6	-30.9	-162.6
Central bank	-242.7	88.0	169.4	187.4	124.6	-3.1	-151.1
Commercial banks	-2.3	-16.2	-15.7	-21.1	-15.7	-28.4	-12.0
CCP	0.6	0.8	0.7	0.6	0.7	0.6	0.6
Fund position	19.2	38.3	10.2	8.3	7.8	5.9	2.7
Other non-treasury	-26.7	-24.1	-24.1	-64.8	-24.1	-62.3	-59.1
Credit to the economy	178.0	204.1	225.8	243.9	246.5	266.0	290.3
Other items (net)	-52.3	-84.3	-67.5	-91.8	-70.7	-91.8	-91.8
Money and quasi money	496.1	476.1	571.3	597.1	623.7	672.9	734.4
Currency outside banks	313.1	280.1	298.5	331.0	319.6	363.8	395.2
Demand deposits	153.1	162.9	215.4	230.7	238.2	240.7	262.1
Time and savings deposits	29.9	33.1	57.4	35.3	65.8	68.4	77.1
<i>Memorandum items:</i>							
Broad money (annual percentage change)	24.7	-4.0	20.0	25.4	9.2	12.7	9.1
Velocity (non-oil GDP)	4.1	4.5	4.1	4.3	4.1	4.3	4.3
Velocity (total GDP)	7.5	7.0	6.6	7.1	6.5	6.7	6.2
Net claims on the government (flows) ²	-149.7	338.6	76.8	23.8	-47.2	-197.8	-131.7

Sources: Chadian authorities; and IMF staff estimates and projections.

¹ IMF Country Report No. 10/196; Chad–Staff Report for the 2010 Article IV Consultation.

² For historical data, the discrepancies with corresponding figures in the fiscal accounts (the line "Bank financing" in Table 3) stem from a buildup or drawdown of government deposits with commercial banks not recorded in the fiscal accounts of the central government.

Table 7. Chad: Millennium Development Goals, 1990–2009¹

	1990	1995	2000	2005	2009	2009 SSA
Goal 1: Eradicate extreme poverty and hunger						
Employment to population ratio, 15+, total (%)	67.0	68.0	68.0	70.0	70.0	64.0
Employment to population ratio, ages 15-24, total (%)	51.0	51.0	52.0	50.0	50.0	49.0
Income share held by lowest 20%	..	..	..	6.0	..	..
Malnutrition prevalence, weight for age (% of children under 5)	..	34.0	29.0	34.0	..	25.0
Poverty gap at \$1.25 a day (PPP) (%)	..	..	..	26.0	..	..
Poverty headcount ratio at \$1.25 a day (PPP) (% of population)	..	..	..	62.0	..	..
Vulnerable employment, total (% of total employment)	..	94.0	..	..	..	..
Goal 2: Achieve universal primary education						
Literacy rate, youth female (% of females ages 15-24)	..	9.0	23.0	31.0	39.0	67.0
Literacy rate, youth male (% of males ages 15-24)	..	26.0	56.0	54.0	54.0	77.0
Persistence to last grade of primary, total (% of cohort)	..	..	47.0	30.0	..	..
Primary completion rate, total (% of relevant age group)	16.0	14.0	22.0	32.0	33.0	64.0
Total enrollment, primary (% net)	33.0	38.0	54.0	61.0	..	76.0
Goal 3: Promote gender equality and empower women						
Proportion of seats held by women in national parliaments (%)	..	17.0	2.0	7.0	5.0	18.0
Ratio of female to male primary enrollment (%)	44.0	48.0	61.0	67.0	70.0	91.0
Ratio of female to male secondary enrollment (%)	22.0	23.0	28.0	34.0	41.0	79.0
Ratio of female to male tertiary enrollment (%)	..	15.0	18.0	6.0	17.0	..
Share of women employed in the nonagricultural sector (% of total nonagricultural employment)	3.8	..	..	..	..	..
Goal 4: Reduce child mortality						
Immunization, measles (% of children ages 12-23 months)	32.0	26.0	28.0	23.0	23.0	68.0
Mortality rate, infant (per 1,000 live births)	120.0	120.0	122.0	124.0	124.0	81.0
Mortality rate, under-5 (per 1,000)	201.0	202.0	205.0	209.0	209.0	130.0
Goal 5: Improve maternal health						
Adolescent fertility rate (births per 1,000 women ages 15-19)	..	..	191.0	177.0	155.0	112.0
Births attended by skilled health staff (% of total)	..	15.0	16.0	14.0	..	44.0
Contraceptive prevalence (% of women ages 15-49)	..	4.0	8.0	3.0	..	21.0
Maternal mortality ratio (modeled estimate, per 100,000 live births)	1300.0	1300.0	1300.0	1200.0	1200.0	650.0
Pregnant women receiving prenatal care (%)	..	23.0	42.0	39.0	..	71.0
Unmet need for contraception (% of married women ages 15-49)	..	10.0	..	21.0	..	24.0
Goal 6: Combat HIV/AIDS, malaria, and other diseases						
Children with fever receiving antimalarial drugs (% of children under age 5 with fever)	..	..	53.0	53.0	..	34.0
Condom use, population ages 15-24, female (% of females ages 15-24)	..	..	..	2.0	..	19.0
Condom use, population ages 15-24, male (% of males ages 15-24)	..	..	..	18.0	..	36.0
Incidence of tuberculosis (per 100,000 people)	125.0	181.0	262.0	315.0	283.0	342.0
Prevalence of HIV, female (% ages 15-24)	..	..	..	..	2.5	3.8
Prevalence of HIV, male (% ages 15-24)	..	..	..	..	1.0	1.5
Prevalence of HIV, total (% of population ages 15-49)	1.1	2.1	3.0	3.5	3.4	5.4
Tuberculosis case detection rate (% , all forms)	34.0	25.0	24.0	20.0	26.0	48.0
Goal 7: Ensure environmental sustainability						
Forest area (% of land area)	10.4	..	9.8	9.5	9.2	28.0
Improved sanitation facilities (% of population with access)	6.0	6.0	7.0	9.0	9.0	31.0
Improved water source (% of population with access)	38.0	42.0	45.0	49.0	50.0	60.0
Marine protected areas (% of total surface area)	..	..	..	..	..	5.0
Goal 8: Develop a global partnership for development						
Internet users (per 100 people)	0.0	0.0	0.0	0.4	1.7	8.8
Mobile cellular subscriptions (per 100 people)	0.0	0.0	0.0	2.0	24.0	37.0
Telephone lines (per 100 people)	0.0	0.0	0.0	0.0	0.0	1.0

Source: World Development Indicators database (World Bank).

¹Figures in italics refer to periods other than those specified.



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[October XX, 2011]

International Monetary Fund
700 19th Street, NW
Washington, D. C. 20431 USA

IMF Executive Board Concludes 2011 Article IV Consultation with Chad

On [October XX, 2011], the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation with Chad.¹

Background

Chad's internal security situation has improved since last year's Article IV consultations, but the crisis in Libya poses risks. Over 70,000 people fleeing violence have been repatriated to or via Chad, with the help of international agencies. The domestic political situation is relatively calm, with legislative and presidential elections having passed without serious disruption, but opposition leaders boycotted the elections and alleged fraud. To accelerate non-oil growth and stem the impact of dwindling oil reserves on income, exports, and fiscal revenues, the government has been pursuing an ambitious public investment program and welcomed foreign direct investment in industrial projects.

With real GDP growth reaching 13 percent in 2010, Chad recovered strongly from the 2009 downturn. Oil production increased, as high oil prices justified additional investment to

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board. At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.

bolster extraction rates. With favorable rains and government measures to provide agricultural inputs, as well as increased cultivated area, agricultural production nearly doubled and food and consumer prices declined. Notwithstanding the increased export earnings from oil, the external current account deficit widened to 35 percent of GDP, because of the high import content of investment spending (notably, in the oil sector).

Despite some improvements, serious deficiencies in budget execution persisted. The share of spending executed with emergency procedures (*“dépenses avant ordonnancement”*—DAO) was lower in 2010 than in 2009, but still accounted for over one quarter of domestically-financed discretionary spending (9.3 percent of non-oil GDP); and DAOs equivalent to 4.3 percent of non-oil GDP awaited regularization at end-2010. On the positive side, the share of contracts awarded without competitive tender fell from 85 percent in 2009 to 49 percent in 2010.

The overall fiscal position improved in 2010, reflecting higher than projected oil prices and increased non-oil tax revenue, but the underlying fiscal stance, as measured by the non-oil primary deficit (NOPD), weakened from 28 percent to 31 percent of non-oil GDP. The NOPD target established in the 2010 supplementary budget was overshoot by 2½ percent of non-oil GDP, mainly due to domestically-financed public investment. The level of official reserves increased, but their ratio in months of imports of goods and services (excluding oil-sector imports) weakened somewhat. Chad’s real effective exchange rate remained broadly in line with that of other CEMAC countries. Broad money increased by 25 percent, in line with nominal GDP, while credit to the economy grew 19 percent, roughly in line with nominal non-oil GDP.

Chad’s public finances and financial sector are overexposed to oil risk. Since the beginning of the oil era in 2003, Chad has pursued an expansionary and procyclical fiscal policy, straining the absorptive capacity of the economy and the public financial management capacity of the administration. Without a financial cushion in the form of government deposits, a shock like the one experienced in 2009 would imply a forced fiscal tightening, a significant investment slowdown, and increased domestic arrears, possibly including arrears to the central bank. In turn, government suppliers may be unable to service their debts, and commercial banks’ nonperforming loans would rise. Although higher oil prices have relaxed financing constraint in the short term, better public financial management and budgetary discipline are needed to make efficient use of finite oil resources.

Executive Board Assessment

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Public Information Notices (PINs) form part of the IMF's efforts to promote transparency of the IMF's views and analysis of economic developments and policies. With the consent of the country (or countries) concerned, PINs are issued after Executive Board discussions of Article IV consultations with member countries, of its surveillance of developments at the regional level, of post-program monitoring, and of ex post assessments of member countries with longer-term program engagements. PINs are also issued after Executive Board discussions of general policy matters, unless otherwise decided by the Executive Board in a particular case.

Chad: Selected Economic and Financial Indicators, 2007–11

	2007	2008	2009	2010 Est.	2011 Proj.
	(Annual percentage change, unless otherwise indicated)				
Real GDP growth	1.8	14.6	-1.2	13.0	3.8
Oil	-3.9	19.2	-5.1	6.4	-1.8
Non-oil	4.4	3.3	0.0	15.0	5.3
CPI inflation (average)	-7.4	8.3	10.1	-2.1	2.0
Oil production (millions of barrels)	52.6	44.3	43.6	44.7	44.2
Oil price (Doba crude, fob Kribi, \$ per barrel)	60.7	82.6	55.7	73.6	99.8
Broad money	5.4	24.7	-4.0	25.4	14.0
Exports	0.1	7.1	-25.5	29.1	20.4
Imports	11.7	-9.1	-20.6	-58.9	3.6
Current account balance (percent of GDP)	13.7	8.9	-17.2	-34.6	-23.6
	(Percent of non-oil GDP)				
Total revenue and grants	44.3	52.0	30.7	41.8	47.0
Total expenditure	38.5	43.7	46.2	50.4	42.1
Non-oil primary balance, excluding grants	-22.1	-29.1	-28.1	-31.5	-26.2
Overall fiscal balance, excluding grants, commitments basis	3.0	5.6	-20.9	-11.3	2.1
	(Billions of CFAF)				
Nominal GDP	3358	3741	3344	4230	4476
Nominal non-oil GDP	1840	2003	2138	2584	2912

Sources: Chadian authorities; and IMF staff projections.